



Health Claims Forum

BANKRUPTCY & PROTECTION INSURANCE

Helen Tilley, Partner

helen.tilley@cpblaw.com

30/09/2021



<https://vimeo.com/618867209/160aae4c60>



Disclaimer

- This information has been prepared by Carter Perry Bailey LLP as a general guide only and does not constitute advice on any specific matter. We recommend that you seek professional advice before taking action.
- No liability can be accepted by us for any action taken or not as a result of this information.

*KEY: *NB Simplified overview only*



Agenda

- Setting the scene/types of scenarios
- Brief overview on bankruptcy
- Key legal principles & terminology
 - “Vesting” of bankrupt’s Estate in Trustee in Bankruptcy
 - Obtaining valid receipt for sum assured (Legal Discharge)
 - Compare individual policies and joint policies - effect of holding as Joint Tenant or Tenant in Common
- What has happened in other disputes (and why)?
- Managing customers’ expectations and TCF

30 September 2021

- Proposed end of Furlough and SEISS today
- Income shocks/ mental health impact of pandemic/ increased risk of bankruptcy of individuals
- Increase in 'zombie companies' - fragile businesses/ bank loan reliant
- TCF - FCA Guidance for Firms on the Fair Treatment of Vulnerable Customers dated 02/2021 (FG21/1)



Finalised guidance

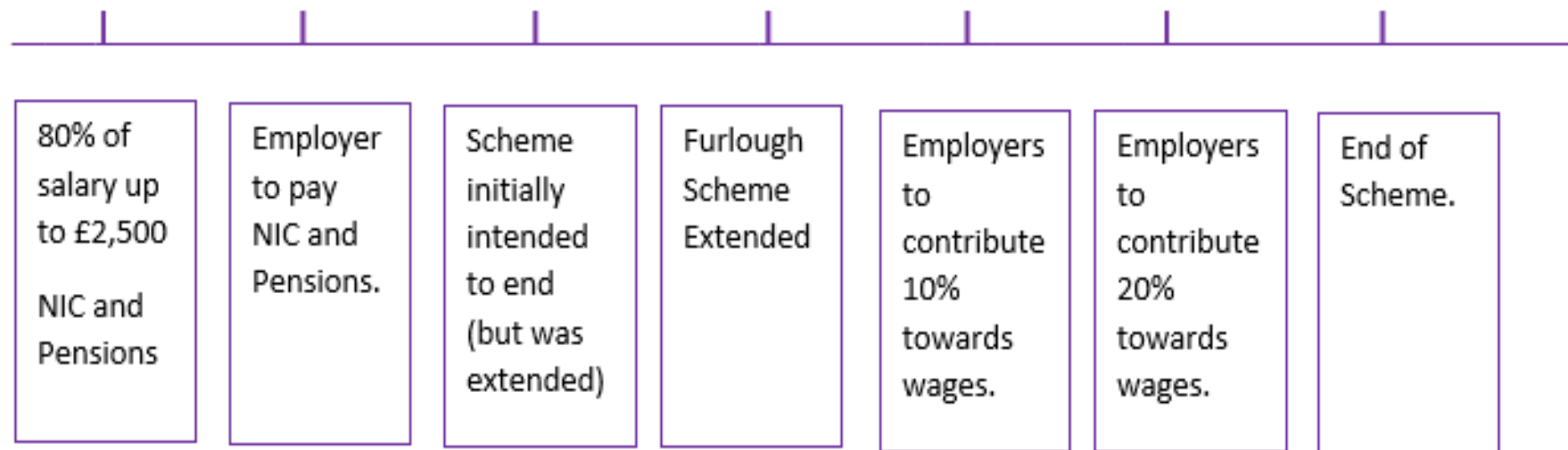
FG21/1 Guidance for firms on the fair treatment of vulnerable customers

February 2021

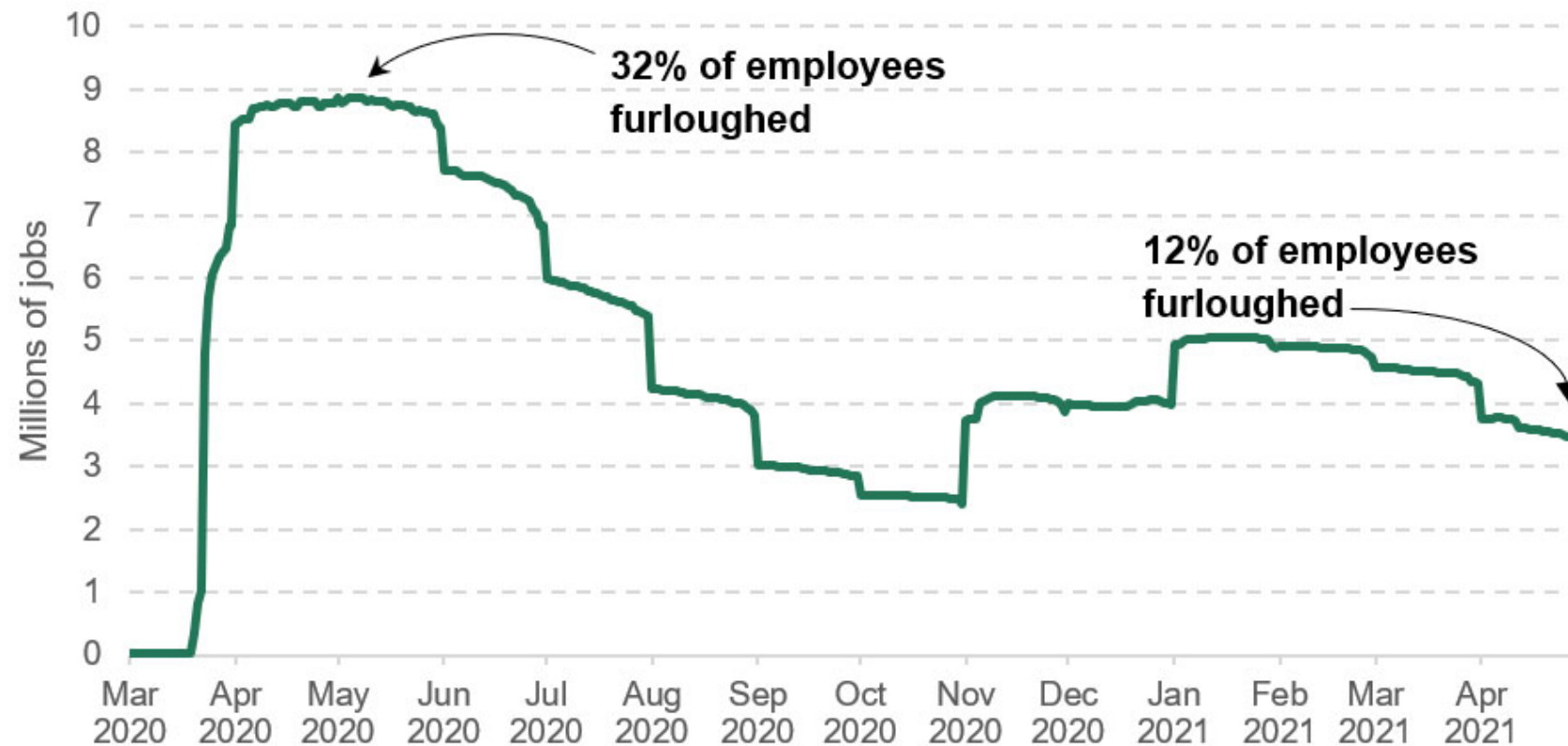


Furlough Scheme – timeline*

1 March 2020 1 August 2020 31 October 2020 1 March 2021 1 July 2021 1 August 2021 30 September 2021



Furlough Scheme - patterns

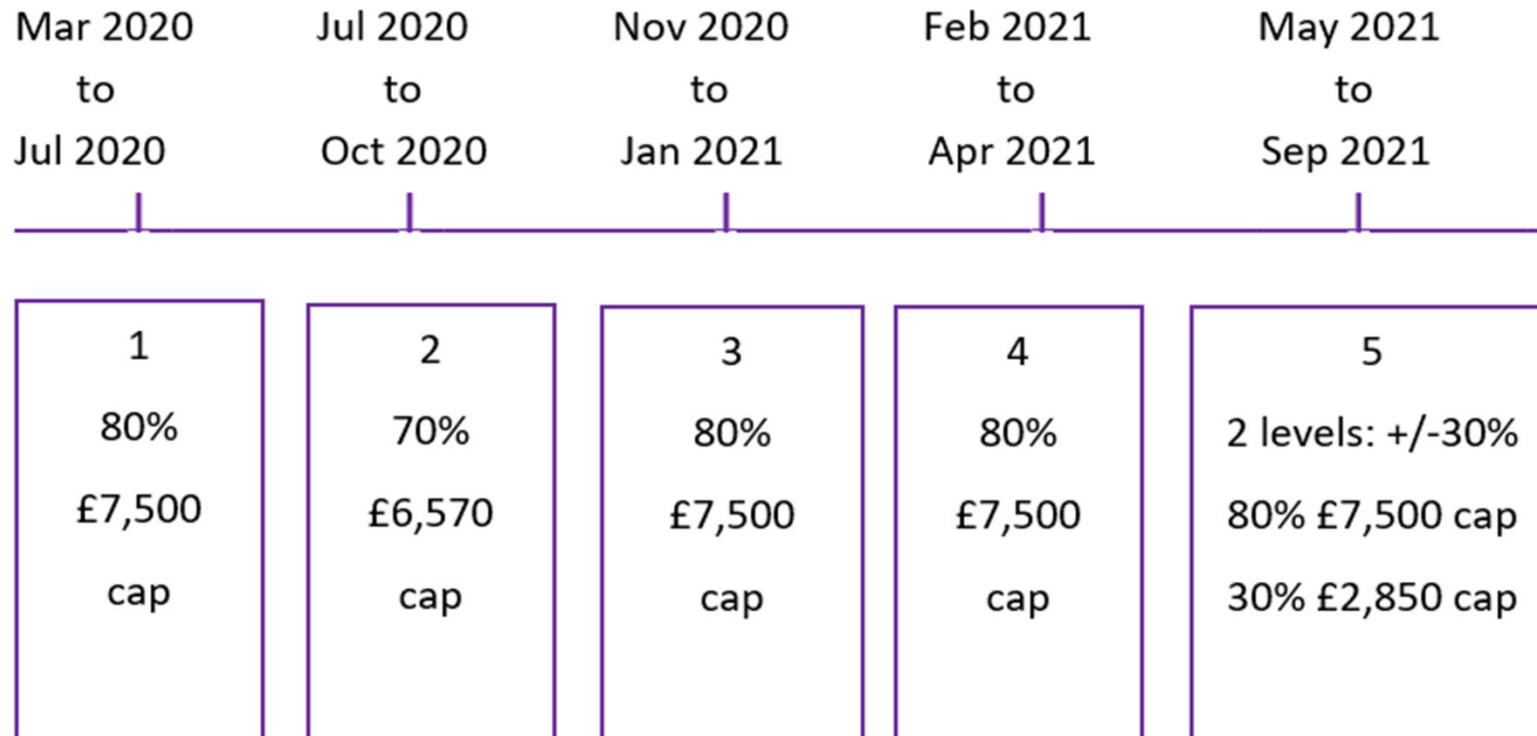


Source: Institute for Fiscal Studies.

Furlough Scheme

- Leading up to 09/2021 - still about 1.6 million on furlough.
The key sectors impacted:
 - Travel – 11%
 - Arts / entertainment / recreation – 15%
 - Hospitality /food – 19%
- 660,000 furloughed jobs are likely to still need the scheme when it ends in September – job loss risk/ income shocks
- Men impacted slightly more than women (960,000/880,000)
- ONS - unemployment rate is 4.8% (0.9% higher than pre-pandemic)

SEISS Scheme



- Trading profit £50k pa or less. Majority of income from self-employment & partnerships.
- Est 2m company owner/managers not eligible for SEISS
- Turnover Test introduced for SEISS 5

*NB Simplified overview only



Bankruptcy - Protection Insurance (1)

- Types of cover where issues arise: typically Life, Life with TI, Critical Illness
- In claims context, often Insurer has no prior warning of bankruptcy. Insurer hears about it after it has happened and dispute then arises as to who should have benefit of the insurance policy
- Good practice, before a claim payment, to make a bankruptcy search on the Individual Insolvency Register:

<https://www.insolvencydirect.bis.gov.uk/eiir>
<https://www.gov.uk/search-bankruptcy-insolvency-register>



Bankruptcy - Protection Insurance (2)

- However, bear in mind that there may have been misrep of financial difficulties at the application stage (& at extreme a motive for murder)
- What is the reason for the bankruptcy? (Was it a Creditor petition? Has another Insurer petitioned for bankruptcy & why? Are they a serial litigant?)



Example issues

- Insurer needs “Legal Discharge” when it pays the claim
- Wish to pay the right person and avoid risk of duplicate claims
- Customer challenges payment of SA to TinB (particularly with joint cover if e.g. one is bankrupt and the other is ill)
- FOS referrals by customer
- TinB could ask Court to decide who received claim payment
- Customer doesn’t understand differences with personal injury claim payments
- Customer could challenge bankruptcy and ask for it to be “annulled” or a decision of TinB to be set aside



Financial
Ombudsman
Service



Initial options for individuals in severe financial difficulties

- Individual Voluntary Agreement (IVA)
 - Agreement between Creditor and Debtor
 - If 75% (by value) of Creditors consent, the agreement binds **all** creditors
- Debt Relief Order (DRO)
 - If DRO granted, usually lasts 12 months and at end the debts specified in schedule will be discharged
 - Eligibility criteria: owe less than £30k + have no assets
 - Application made through approved intermediary (an authorised professional debt advisor)
 - While DRO is in place certain restrictions are imposed on debtor

The Practicalities of Bankruptcy

Day-to-day.....

- Bank a/c frozen. Bank cards/ credit cards handed in
- Keep trade tools/vehicle to allow job to continue
- Keep clothing/ furniture
- Asset sale (to pay unsecured creditors)
- Income Payment Agreement (IPA) – usually up to 3 year period

IP cover

- Some Plans gives Insurer a 'right to cancel'
- Where there is a Member's Credit some Plans 'forfeit' it and allow Insurer to pay that to relative or transfer to the Reserve Fund
- Bankrupt needs to inform TinB of assets/ income (so that distributable to creditors)

Bankruptcy

- Petition made to the Court for a **Bankruptcy Order** (started by e.g. creditor/ debtor/ supervisor of Individual Voluntary Arrangement (IVA))
- When a person is made bankrupt there is a **‘statutory assignment’** of the bankrupt’s interests, into the name of the Official Receiver/TinB
- Bankrupt’s Estate automatically “vests” in TinB
- If assets are sufficient, Official Receiver will appoint another person as Trustee in Bankruptcy (TinB)

Trustee in Bankruptcy's Right of Inquiry

- Within 21 days of Bankruptcy Order the bankrupt person must provide information (including assets such as insurance policies) to TinB (s 366 Insolvency Act 1986)
- The Preliminary Information Questionnaire (PIQ) (or debtor's statement of affairs - if debtor starts the bankruptcy) instructs the bankrupt to provide all insurance policy details to the OR/TinB
- Insurer will be informed of Bankruptcy Order and asked to confirm the type of policy and surrender value (if any) (Form NTASS (DO73))
- Where no surrender value the bankrupt might be allowed to purchase the TinB's interest in the policy (e.g. if no foreseeable prospect of a claim)

The End of Bankruptcy

- Auto discharged after 1 year unless Official Receiver or TinB suspends discharge
- Released from debts once discharged from Bankruptcy Order
- However, Bankrupt can apply for Bankruptcy Order to be 'annulled' earlier, if can show it should not have been made or an IVA has been agreed with the creditors
- NB check that TinB fully discharged from his/her duties & no longer has interest in insurance policy (see e.g. FOS decision: DRN4206722)



What happens upon bankruptcy ? - “vesting” of Estate in TinB

Section 306 Insolvency Act 1986

Cork v Alan Rawlins [2000]

- Mr R claimed **Permanent Disablement benefit** under 2 policies, but before payment he was made bankrupt
- Bankrupt's Estate automatically “vests” in TinB
- Trustee in Bankruptcy (Mr Cork) applied to Court for a Declaration that PD sum assured payable to Mr C (not directly to Mr R)
- Mr C asked the Court: if SA payable to Mr C what could he (Mr C) do with it?
 - Could Mr C distribute the money to creditors? or
 - Did Mr C (as TinB) hold it for Mr R?

Cork v Rawlins (2)

Policy 1

- **Whole of Life**
- Lump sum for PD (sickness or injury) if under age 60 (equivalent SA to death benefit)
- If PD paid, policy ended

Policy 2

- **Endowment policy**
- 23 year term
- Endowment with accelerated payment on death or PD

Cork v Rawlins (3)

- Issue was whether Permanent Disablement benefit was part of bankrupt's Estate (and therefore auto. vested in TinB) and then could it be distributed to creditors?
- Was PD benefit paid for “pain & suffering” and therefore of a “personal nature” (such as clinical negligence claim (in Ord v Upton [2000]) where money had to be held for the bankrupt (injured) person
- In Cork v Rawlins PD is advance payment of death benefit, amount paid not attributable to any injury suffered, therefore vests in TinB AND distributable to creditors

Cork v Rawlins [2000] Judgment (4)

*“the **amount payable** is the **same as on death**...all the permanent disablement does is to **advance** the date on which the sum is **payable**. It does not seem to me, therefore, that the sums are attributable to any injury which Mr Rawlings has suffered. That is **the event** on which they are payable, but they are **not calculated by reference to any pain or suffering**”*

Joint Policies

- How is the insurance policy (the person's **"interest"** in it) held?
 - Joint tenancy (JT) or
 - Tenancy in common (TinC)
- In practice, this means:
 - who gets the money? and
 - who can give the insurer a valid receipt (legal discharge)?
- It may be unclear whether it is a JT or TinC e.g. policy silent

Joint Tenancy v Tenancy in Common – which is it and what effect does this have?

If we use the analogy of a house being **jointly owned**:

- Couple buy, if buy as **Joint Tenants**, when 1 dies that person's 50% interest goes to survivor
- 2 people buy with e.g. 30:70 split so should hold as **Tenants in Common**. If 1 dies, their interest goes into their own Estate
- Tenants in Common can be 50:50 shares, or any %



The effect of 'right of survivorship'

JOINT TENANTS

"A" and "B" each have 50%

A dies, A's interest
automatically passes to B



BUT.....

TENANTS IN COMMON

"C" holds 30% as TinC

"D" holds 70% as TinC

When C dies, his interest in the 30%
passes to C's Estate (not directly to D)

How does this apply in the context of protection insurance?

- Usually, Husband + Wife joint life insurance
- Sometimes, with terminal illness benefit or critical illness insurance
- 1 insured person becomes bankrupt and dispute arises as to:
 - whether Trustee in Bankruptcy holds an interest in the protection policy,
 - what should be paid if an insured event occurs and
 - whether can be distributed to the bankrupt's creditors

What has happened in other disputes (and why)?

Re Dennis (a bankrupt) [1993]

- The effect of bankruptcy is to “sever” a Joint Tenancy
- This meant that bankrupt’s property (including the bankrupt’s interest in the insurance policy) automatically vests in Trustee in Bankruptcy

Pritchard (a bankrupt): Re Williams v Pritchard [2007]

The Facts:

- Joint Life first to die, with Terminal Illness policy held by H+W (21 year term, decreasing sum assured)
- 3 months after inception Mr made bankrupt, therefore TinB appointed
- 3 years later **Mrs diagnosed as terminally ill.** But Mr still a registered bankrupt
- **Mrs then sadly died.** Insurer paid 50% to Mrs's Estate.
Was anything payable to TinB or could more be paid to Mrs's Estate???

Pritchard (a bankrupt): Re Williams v Pritchard [2007] JUDGMENT

- Court stated: rights regarding Terminal Illness held as Joint Tenants. When Mr made bankrupt, JT severed and **Mr's (i.e. the well person)** 50% interest in the Terminal Illness benefit vested in his TinB. Re Dennis reasoning followed.
- Court decided bankrupt's share of Terminal Illness benefit vested in TinB. Therefore, the remaining balance of 50% payable to Mr's TinB for benefit of his creditors
- What if premiums had been paid only by deceased and not jointly?

Controversial different treatment of Life and Terminal Illness benefit

Murphy v Murphy [2004] Court of Appeal

The Facts:

- H + W joint lives first to die, pure protection (no savings element) (Life + Terminal Illness)

NB Not a bankruptcy case – it involved Court application for provision on death to family dependent (Mr's child with another woman)

Court of Appeal (majority) stated:

- Terminal Illness benefit held as Joint Tenants (“JT”)
- But Life benefit was composite/several
- As the family provision legislation required the life cover to be held as JT - child got nothing



Different treatment of Life and TI Benefit

*“the benefit payable on **terminal illness** would be needed by both of the policyholders to defray the cost of that illness, in contradistinction, the benefit on **death** would only be required by the survivor”*

Murphy v Murphy [2004] (para 21)

Critical Illness Cover

- Joint Life + CI (Mr and Mrs)
- Mr made bankrupt
- Mr suffered a CI (stroke)
- Should Insurer pay 100% to Mr's TinB?
- No – 50% to Mrs and 50% to Mr's TinB
- Bankruptcy had severed joint tenancy
- Whilst **Williams v Pritchard** referred to payment of TI, the principle should equally apply to CI



Managing Customer's Expectations (1)

- Where bankruptcy involved emotions are high
- Parties can get very entrenched as shown by an on-going NZ case – **Miah v National Mutual**
- Referring to it being a statutory process can help to diffuse the situation



Managing Customer's Expectations (2)

“the ill person is not the bankrupt person, it's not fair if they don't get all of the money!”

- In **Williams v Pritchard**, Mrs was ill, but it was Mr who had been made bankrupt – 50% re Mrs and 50% paid to Mr's TinB
- Insurer says – “automatic vesting” – it's out of our hands as it is a statutory process
- Where there are competing claims
 - TinB could seek a Court declaration to resolve a dispute
 - Customer/policyholder might go to FOS

Managing Customers' Expectations (3)

The differences with personal injury compensation claims

- Protection insurance sum assured not attributable to “pain & suffering” so Life/TI/CI policy will vest in TinB (and then distributable to creditors)
- Personal injury claims are different and do not fall into Bankrupt's Estate

Summary

- Clearer if joint protection policy explains that interests held jointly as joint tenants. For example, when 1 dies, passes to surviving JT
- Joint tenancies have a “right of survivorship” BUT the event of bankruptcy “severs” the joint tenancy
- Consider position of each type of protection benefit e.g. Life/TI/CI
- Protection insurance sum assured not attributable to “pain & suffering” so, unlike personal injury claims which do not fall into Bankrupts Estate, Life/TI/CI policy will vest in TinB (distributable to creditors)
- If bankruptcy occurs in time line, be cautious! But aim to pay the uncontentious % as soon as possible
- TinB could obtain Court declaration to pay to TinB (or FOS may become involved). Therefore, if pay 100% and wrong, could have additional payments to make.



Any Questions?



Helen Tilley
PARTNER





Helen Tilley

helen.tilley@cpblaw.com

T: +44 (0) 203 697 1900/1910

M: +44 (0) 771 773 3865

www.cpblaw.com

www.insuralex.com

